

Eicher Motors Ltd

EICHERMOT · Consumer Discretionary / Two Wheelers

ROE

22.17%

ROCE

28.44%

Net Profit Margin

24.20%

D/E

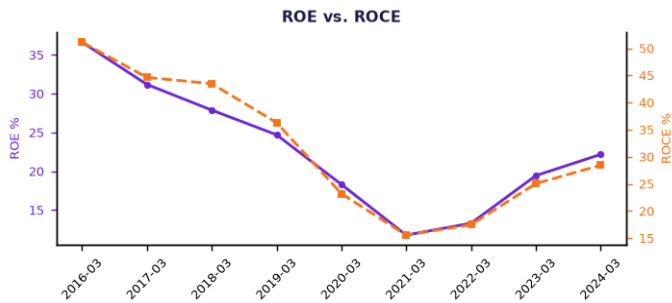
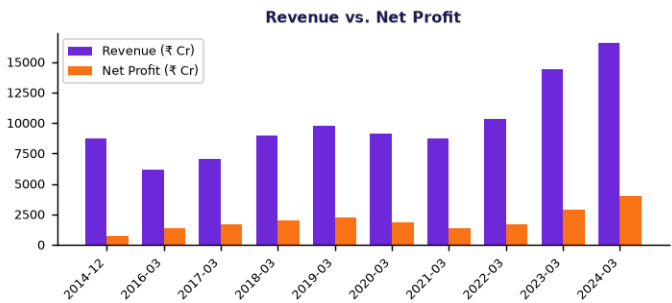
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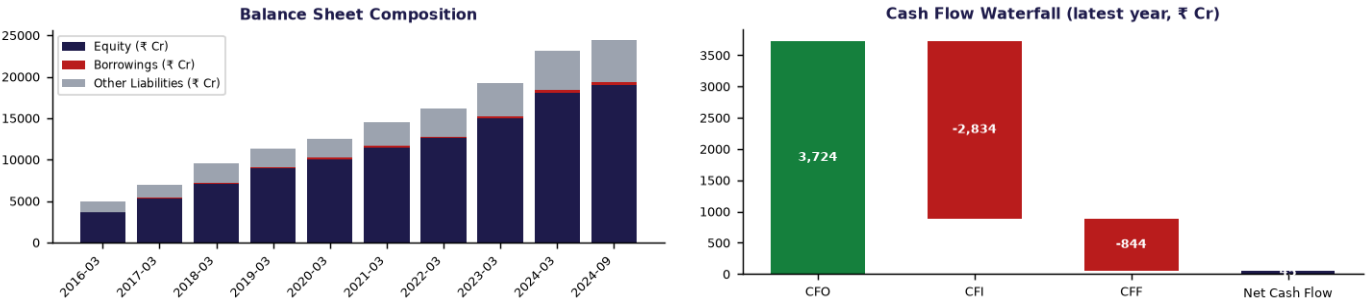
Revenue CAGR 5yr

11.04%

FCF (Rs. Cr)

890





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (96% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (92% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (67% confidence)

Cons

✗ No red flags were identified among the standard risk checks in this model; this does not constitute an assessment of valuation, governance, or macro risk (61% confidence)

Capital Allocation Pattern: **Reinvestor**